



RESOLUTION NO. 2024-002

WHEREAS, under Article II Section 1 of the By-laws of the Cavite Federation of Rural Banks, Inc. (hereinafter referred to as "the Federation"), membership therein is open only to rural banks whose respective head offices are located and operating in the Province of Cavite;

WHEREAS, the number of members composing the Federation, for various reasons, has been reduced over the years since its incorporation in 2008 from the original nineteen (19) members to the current number of only eight (8) members;

WHEREAS, there has been an influx of rural banks that have their head offices located outside of the Province of Cavite that have established and are operating branches in Cavite;

WHEREAS, the Board deems that complementing its membership with such rural banks that have branches in the Province of Cavite is in the best interest of the Federation and the rural banking sector in general, as well as in furtherance of the purposes for which the Corporation was established, as stated in the Purpose Clause of its Articles of Incorporation, to wit:

"SECOND. To promote the general welfare and safeguard the common interest of the Rural Banks in the Province of Cavite; to work for the proper and effective implementation of the laws and regulations on rural banks; to study and devise ways and means of making the rural banks in the Province of Cavite more responsive to the needs of the people; to act as a medium in the dissemination of the operations of rural/banks; to initiate and evolve program of activities to stir up rural bank consciousness in the Province of Cavite; and in general to foster goodwill and mutual understanding among rural banks in the Philippines in general and in particular among member banks in the Province of Cavite"

NOW, THEREFORE, the Board of Directors of the Federation has RESOLVED, as it hereby RESOLVES, to create a category of membership in the Federation for rural banks, which are otherwise not qualified to be members of the Federation for the reason that their head offices are not in the Province of Cavite. RESOLVED, Further, that such members shall be deemed as AFFILIATE MEMBERS, as distinguished from the current members of the Federation who qualify as members under the By-laws (hereinafter referred to as REGULAR MEMBERS). RESOLVED, Further, that the admission and membership of AFFILIATE MEMBERS shall be under the following terms and conditions:

1. AFFILIATE MEMBERS shall be rural banks, the respective head offices of which are outside of the Province of Cavite, that have one or more branches established and operating in Cavite at the time that they are admitted as AFFILIATE MEMBERS. The AFFILIATE MEMBERS must maintain such branches as a condition for continued membership in the Federation;
2. The AFFILIATE MEMBER must be a member in good standing of the RBAP and of the confederation and federation of rural banks in the place where their head offices are located at the time of their admission and as a condition for continued membership in the Federation;
3. Admission of a rural bank as an AFFILIATE MEMBER shall be upon the unanimous vote of all the REGULAR MEMBERS of the Federation;
4. AFFILIATE MEMBERS shall host a regular meeting of the Federation as a condition for admission as member of the Federation.
5. AFFILIATE MEMBERS shall each pay membership dues at the same amount due from each REGULAR MEMBER.
6. Attendance of regular and special meetings, as well as all activities of the Federation shall BOTH be a right and an obligation of AFFILIATE MEMBERS, subject to exceptions as stated herein.
7. AFFILIATE MEMBERS shall not be qualified to be elected, through their respective representatives, to any of the officer positions in the Federation enumerated in

Article VII of the By-laws. They shall not have the right to vote or be voted for in the election of officers and representatives to the RBAP and the Confederation of Southern Tagalog Rural Banks as well as in the determination fundamental policy matters and the amendment of the Federation's Articles of Incorporation and By-laws. By majority vote, the REGULAR MEMBERS may restrict to themselves discussion and resolution of certain matters as they may deem fit.

8. Except as above-stated, AFFILIATE MEMBERS shall have the same rights and obligations as REGULAR MEMBERS.
9. AFFILIATE MEMBERSHIP may be lost for the following reasons:

- a. Upon the occurrence of any of the grounds stated under Section 9, Article II of the By-laws;
- b. If the AFFILIATE MEMBER ceases to have any branch operating in the Province of Cavite;
- c. Upon 2/3 vote of the REGULAR MEMBERS to remove the AFFILIATE MEMBER.
- d. If the REGULAR MEMBERS, majority vote, resolve to remove AFFILIATE MEMBERSHIP in the Federation.

RESOLVED, Finally, that the Federation shall retain the prerogative to diminish, revise and amend the terms of AFFILIATE MEMBERSHIP, which is a privilege that shall not vest as a right to entities that are not otherwise qualified to be admitted as members of the Federation.

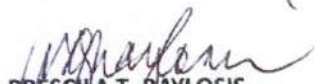
APPROVED:



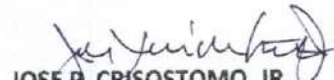
DENNIS O. VALDES
Cebuana Lhuillier Rural Bank



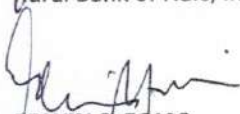
CATALINA M. BAGSIC
First Integrity Bank, Inc.
(Rural Bank of Bailen)



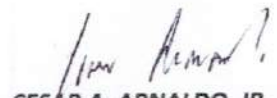
PRESCILA T. BAYLOSIS
Rural Bank of Naic, Inc.



JOSE P. CRISOSTOMO, JR.
Imus Rural Bank Inc.



EDWIN S. FOJAS
Bangko Mabuhay



CESAR A. ARNALDO, JR.
One United Rural Bank of Cavite, Inc.
(OUR Bank)



JOSE MARI MICHAEL S. CAGURANGAN
OWN Bank (Rural Bank of Cavite City)



ZENAIDA LIBREA
Cavite United Rural Bank